

Svamaan Financial Services Private Limited

September 02, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	800.00	CARE A+; Stable	Upgraded from CARE A; Positive
Long-term instruments	MCA	50.00	CARE A+; Stable	Upgraded from CARE A; Positive
Long-term instruments	MCA	100.00	CARE A+; Stable	Upgraded from CARE A; Positive
Non-convertible debentures	MCA	50.00	CARE A+; Stable	Upgraded from CARE A; Positive

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has upgraded the rating assigned to bank facilities and instruments of Svamaan Financial Services Private Limited (SFSPL) to 'CARE A+; Stable' from 'CARE A; Positive'. The upgrade factors in the sustained and significant scale-up in SFSPL's operations, the demonstrated turnaround and improvement in asset quality metrics over the last three quarters, the sharp recovery in profitability in Q1FY27 as credit costs normalised, and the continued strong financial and managerial support from the promoter, Mr. Parth Jindal, who also leads the JSW Group entities, and Ms. Anushree Jindal.

SFSPL's assets under management (AUM) grew by ~64% to ₹1,742.59 crore as on March 31, 2026 (FY25: ₹1,062.55 crore), aided by geographical diversification and the portfolio acquisition from Mahasemam Trust in the form of slump sale. While FY26 was a transitional year for the microfinance sector, with SFSPL reporting elevated credit costs of 5.70% of average total assets and a moderation in profit after tax (PAT) to ₹12.86 crore, the company's performance has since improved markedly. Gross non-performing assets (GNPA) declined to 3.33% as on March 31, 2026, and further to 2.94% as on June 30, 2026, from 3.84% as on March 31, 2025, while net NPA (NNPA) improved to 2.21% and 1.67%, respectively, from 2.85% as on March 31, 2025. Accretion rates have turned negative across most states, including Karnataka, and profitability rebounded sharply in Q1FY27 with a PAT of ₹14.29 crore, translating to an annualised return on total assets (ROTA) of 3.57%, as credit costs normalised to 3.17% (annualised).

The rating continues to derive strength from SFSPL's sustained capital and strategic support from its promoter. Since inception, the company has received equity funding of ₹226.03 crore routed through Ambit Operations & Management Services Private Limited (Ambit), a wholly owned entity of Mr. Parth Jindal and Ms. Anushree Jindal. The net worth crossed ₹250 crore (₹286.34 crore as on June 30, 2026), and the company has transitioned to Ind AS from Q1FY27. The company has demonstrated a marked improvement in collection efficiency, rising from ~95% in March 31, 2026, to over 99% as on June 30, 2026. This progress has been reinforced by launch of the company's customer-centric mobile application, offering borrowers convenient digital repayment options. The rating also factors in the company's weekly repayment model that ensures frequent customer interaction and stronger collection discipline, its robust risk-management framework under which ~100% of incremental eligible disbursements are covered under the Credit Guarantee Fund for Micro Units (CGFMU) (portfolio coverage of ~89% at the end of FY26), adequate capitalisation, improving pre-provision operating profit (PPOP) and a diversified liability franchise ensuring funding stability at competitive rates.

However, the rating is constrained by SFSPL's relatively moderate scale of operations, its geographically concentrated portfolio (though improving), an elevated on-book gearing of 5.69x as on March 31, 2026 (which moderated to 4.78x as on June 30, 2026), and the risks inherent in the microfinance sector, such as socio-political interventions and regulatory challenges. Continued support and financial commitment from the promoter, sustenance of the improvement in asset quality, and growth in business and profitability while keeping gearing within prudent levels will remain key monitorable.

Rating sensitivities: Factors likely to lead to rating actions

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant increase in the scale of operations with improvement in asset quality, improvement in profitability parameters and reduction in geographical concentration.
- Improvement in credit risk profile of the promoter.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Reduction in the anticipated support, dilution in promoter shareholding below 51% and/or deterioration in the credit risk profile of the promoter.
- Deterioration in asset quality with gross non-performing assets beyond 5%.
- Increase in overall gearing levels beyond 5.5x.

Analytical approach: Standalone

CareEdge Ratings has assessed the standalone business profile of SFSPL, factoring its linkages with the promoter and the JSW Group, given the support received through capital infusions and management involvement.

Outlook: Stable

The 'Stable' outlook reflects CareEdge Ratings' expectation that SFSPL will sustain the improvement in its asset quality and profitability metrics, maintain adequate capitalisation supported by continued promoter infusions, and scale up its operations while keeping gearing within prudent levels and securing funds at competitive rates.

Detailed description of key rating drivers
Key strengths
Strong parentage with financial and managerial support from promoters

SFSPL was founded by Ms. Anushree Jindal and promoted by Mr. Parth Jindal (Director) in 2017 with the aim of promoting financial inclusion and driving the socio-economic well-being of women and micro enterprises across India. Mr. Parth Jindal holds leadership and board positions across several JSW Group entities, including Managing Director of JSW Cement and JSW Paints, and Director of JSW Energy, JSW MG Motor India, JSW Gecko Motors, JSW One Platforms, JSW GMR Cricket, and JSW Dulux among others. SFSPL is the group's first diversification into the financial services space and remains strategically important to the promoter and the group, with common directors ensuring strategic alignment and governance oversight. Its holding company, Ambit, which is wholly owned by Mr. Parth Jindal and Ms. Anushree Jindal, primarily serves as an investment vehicle. Since inception, SFSPL has received equity funding of ₹226.03 crore through this route, including ₹10 crore of equity infusion in FY26 and underscoring the promoter's long-term commitment to the business. In addition to financial support, the promoters play a direct role in shaping the company's strategy and are represented on major board committees, including audit and risk management.

CareEdge Ratings expects SFSPL to continue benefiting from capital support and strategic guidance from its promoter and the JSW Group, and its continuity remains a key monitorable.

Experienced board members and management

SFSPL has the backing of experienced board members and the management team, which is led by Kiran Kumar G, Whole Time Director and CEO. He has an extensive experience of over 19 years in the financial services domain across credit strategy, digital lending, growth and organisation transformation at Strategy&PWC and CapitalOne Canada. The company has experienced personnel on the board, Soma Sankara Prasad, an Independent Director, who is the former MD and CEO of UCO bank. He was also the former DMD and Group Compliance Officer of State Bank of India and has worked in the banking industry for 40 years. He is currently serving on the board of multiple entities. Another key board member, Kantilal Patel, has extensive experience in the financial sector and serves on the boards of several JSW Group companies, strengthening strategic linkage with the group.

Recovery in profitability with normalisation of credit cost

In FY26, SFSPL reported a PAT of ₹12.86 crore (FY25: ₹20.88 crore), with ROTA moderating to 0.99%, primarily on account of elevated credit costs of 5.70% of average total assets amid sector-wide stress, together with network expansion (branches increased to 407 as on March 31, 2026) and the structurally higher operating cost of the weekly collection model. Net interest margin (NIM), however, remained healthy at 12.95% in FY26.

Profitability recovered sharply in Q1FY27, with SFSPL reporting a PAT of ₹14.29 crore and an annualised ROTA of 3.57%, as credit costs normalised to 3.17% (annualised) and NIM improved to 14.33% (annualised). The company has consistently demonstrated its ability to raise funds at incrementally lower cost. Sustained control over credit and operational costs will be critical to consolidating the improvement in profitability and remains a key monitorable.

Adequate capitalisation supported by regular capital infusion

SFSPL benefits from a strong promoter that has consistently supported the company through timely equity infusions, with total capital funding of ₹226.03 crore since inception. The tangible net worth (TNW) stood at ₹237.72 crore as on March 31, 2026, and improved to ₹259.04 crore as on June 30, 2026, with a capital adequacy ratio (CAR) of 18.91% (March 31, 2026) improving to 25.37% (June 30, 2026) following sub-debt issuance, improvement in profitability and reduction in risk weighted assets. The on-book gearing rose to 5.69x as on March 31, 2026 (FY25: 2.71x) on the back of strong AUM growth but moderated to 4.78x as on June 30, 2026.

CareEdge Ratings expects SFSPL to maintain prudent capitalisation, supported by internal accruals and planned equity infusions, with gearing expected to remain within 5.5x over the medium term.

Diverse liability franchise in terms of lender mix with ability to raise funds at competitive rates

SFSPL has a diversified liability franchise, including securitisation, with borrowings from private sector banks (46.55%), public sector banks (15.64%), non-banking financial companies (NBFCs) (23.25%), foreign banks (13.63%) and financial institutions (0.94%) as on March 31, 2026. The company accesses funding through term loans, subordinated debt, non-convertible debentures (NCDs) and direct assignments, and has established relationships with a broad and diversified lender base. However, some concentration remains, with the top 10 lenders accounting for ~70.6% of total borrowings. SFSPL has also demonstrated the ability to raise funds at competitive rates. The company is currently evaluating an external commercial borrowing (ECB) transaction, with commercial terms still under negotiation.

The company's ability to maintain a diversified debt profile and raise funds at competitive rates remains a key monitorable.

Key weaknesses

Moderate track record of operations

SFSPL commenced lending operations in Q4FY19 and hence has a relatively moderate operational history of about seven years. As on March 31, 2026, its AUM reached ₹1,742.59 crore against ₹1,062.55 crore as on March 31, 2025. In Q1FY27, the AUM moderated to ₹1,673.85 crore, largely on account of seasonally lower first-quarter disbursements and impact of El Niño-related conditions, even as the scale remained materially higher on a year-on-year basis. In Q1FY26, SFSPL completed a portfolio acquisition of ₹203.58 crore from Mahasemam Trust in the form of slump sale, a 26-year-old institution promoted by the founders of Meenakshi Hospital - Madurai, strengthening its presence in southern Tamil Nadu. The company's ability to scale up its operations while maintaining sound asset quality across economic cycles and geographies remains a key monitorable.

Geographically concentrated portfolio, despite some improvement

SFSPL has significantly expanded its geographical presence since inception and now operates across 12 states with a branch network expanded from 244 branches (March 31, 2024) to 305 branches (March 31, 2025) and further to 407 as on March 31, 2026. Despite this expansion, its operations remain relatively concentrated, with the top three states (Maharashtra, Karnataka, Tamil Nadu) continuing to account for 58% of the on-book portfolio, although the concentration has steadily reduced over the years. The company has scaled up lending in states, such as Bihar, Rajasthan, Madhya Pradesh, Haryana, and Telangana to broaden its customer base and reduce dependency on a few key markets.

Given the target borrower profile and the relatively short seasoning of the expanded portfolio, geographic concentration continues to expose the company to region-specific risks, and effective execution of its diversification strategy remains an important monitorable.

Asset quality susceptible to inherent risk in microfinance sector

As a microfinance institution, SFSPL operates in a high-risk asset class of providing collateral-free loans to marginal borrowers, and hence its operations remain susceptible to event-based risks such as socio-political disruptions, regulatory changes and natural calamities. The sector witnessed elevated delinquencies through FY25 and FY26 owing to borrower over-leverage and other headwinds. However, SFSPL's asset quality has been on an improving trajectory: GNPA improved to 3.33% as on March 31, 2026, and further to 2.94% as on June 30, 2026, while NNPA improved to 2.21% and 1.67%, respectively. Provision coverage

improved to ~44% as on June 30, 2026, and accretion rates turned negative across most states, including Karnataka, indicating stabilisation. The company has covered ~100% of incremental eligible disbursements under CGFMU (portfolio coverage of ~89% as on March 31, 2026), which materially reduces the risk on fresh exposures. While the improving trend is encouraging, sustenance of the same amid the stricter guardrails prescribed by the Sa-dhan will remain a key monitorable. Collection efficiency remained healthy, averaging ~96.8% (current) and ~101.6% (including overdues) over the 15 months ending June 2026.

The portfolio remains relatively seasoned in a post-stress operating environment and the company's ability to sustain lower delinquency levels, improve provision coverage and maintain asset quality amid evolving regulatory guardrails and portfolio growth will remain key monitorable.

Liquidity: Adequate

The company's liquidity profile is adequate, with no negative cumulative mismatches across time buckets. Per the asset-liability management (ALM) profile as on June 30, 2026, SFSPL has debt repayment obligations of ₹662.56 crore (apart from securitisation) over the next one year, against which it had cash and bank balances of ₹100.65 crore and principal receivables of ₹942.45 crore in the same period. Further, the company also has undrawn sanctions of ~₹658 crore as on July 31, 2026.

Applicable criteria

[Policy on Default Recognition](#)

[Assigning 'Outlook' or 'Rating Watch' to Credit Ratings](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

[Notching by Factoring Linkages in Ratings](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Microfinance institutions

SFSPL was incorporated on October 31, 2017, while operations commenced from January 14, 2019. The company is registered as a non-banking financial company – micro finance institution (NBFC-MFI) with the Reserve Bank of India (RBI). Ambit is the holding company and an investment vehicle for Mr. Parth Jindal and Ms. Anushree Jindal and has been infusing equity capital in SFSPL. As on March 31, 2026, Ambit held 100% stake in SFSPL.

The company's objective is to promote financial inclusion and drive the socio-economic well-being of women and micro enterprise across India. It is primarily engaged in providing micro finance services to women who are enrolled as members and organised as joint liability group (JLG). In addition to the core business of providing micro-credit, the company also provides other financial products and services to the members. It caters to the customer segments which are financially underserved in the rural areas. As of March 2026, the company's operations are spanning across 12 states with a branch network of 407. AUM as on March 31, 2026, stood at ₹1,742.59 crore.

Standalone financials

Brief Financials (₹ crore)	31-03-2025	31-03-2026	Q1FY27
	A	A	UA
Total income	240.20	344.96	104.17
Profit after tax (PAT)	20.88	12.86	14.29
Assets under management (AUM)	1,062.55	1,742.59	1,673.85
On-book gearing (x)	2.71	5.69	4.78
AUM / tangible net worth (TNW) (x)	4.37	7.33	6.46
Gross non-performing assets (NPA) / gross stage 3 (%)	3.84	3.33	2.94
Return on managed assets (ROMA) (%)	1.97	0.85	3.11^
Capital adequacy ratio (CAR) (%)	28.94	18.91	25.37

A: Audited; UA: Unaudited; Note: these are latest available financial results

^Annualised

Status of non-cooperation with previous CRA:

Not applicable

Any other information:

Not applicable

Rating history for last three years: Annexure-2**Detailed explanation of covenants of rated instrument / facility:** Annexure-3**For complexity level of instruments rated refer to Annexure-1****Lender details:** Annexure-4**Disclosure on facilities/instruments and name of the regulators:**

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non-convertible debentures (Proposed)	MCA	Complex	Proposed	-	-	-	50.00	CARE A+; Stable
Debt-Non-convertible Debenture/Subordinate Debt	MCA	Complex	INE622Z07033	11-Nov 2025	9.80%	11-Nov 2028	60.00	CARE A+; Stable
Debt-Non-convertible Debenture/Subordinate Debt	MCA	Complex	INE622Z08015	12-Dec 2022	11.75%	12-Jun 2028	25.00	CARE A+; Stable
Debt-Non-convertible Debenture/Subordinate Debt	MCA	Complex	Proposed	-	-	-	65.00	CARE A+; Stable
Fund-based - LT-Term Loan	RBI	Simple	-	-	-	31-Jul-2033	546.70	CARE A+; Stable
Fund-based - LT-Term Loan (Proposed)	RBI	Simple	Proposed	-	-	-	253.30	CARE A+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	800.00	CARE A+; Stable	-	1)CARE A; Positive (03-Sep-25)	1)CARE A; Positive (04-Sep-24)	1)CARE A; Stable (13-Oct-23) 2)CARE A; Stable (03-Oct-23)
2	Debentures-Non-convertible debentures	LT	50.00	CARE A+; Stable	-	1)CARE A; Positive (03-Sep-25)	1)CARE A; Positive (04-Sep-24)	1)CARE A; Stable (13-Oct-23) 2)CARE A; Stable (03-Oct-23)
3	Debt-Non-convertible Debenture/Subordinate Debt	LT	50.00	CARE A+; Stable	-	1)CARE A; Positive (03-Sep-25)	1)CARE A; Positive (04-Sep-24)	1)CARE A; Stable (13-Oct-23) 2)CARE A; Stable (03-Oct-23)
4	Debt-Non-convertible Debenture/Subordinate Debt	LT	100.00	CARE A+; Stable	-	1)CARE A; Positive (03-Sep-25)	1)CARE A; Positive (04-Sep-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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